

Excerpts from AI Now 2025 Report on AI Power

Key Takeaways

- The report's central thesis is that the key question about AI is not whether individual products like ChatGPT are useful, but whether the concentrated, unaccountable power of the companies building them serves the broader public interest.
- Despite the appearance of new challengers like OpenAI and Anthropic, the AI market remains dominated by the same Big Tech incumbents (Microsoft, Amazon, Google, Meta) because the newer firms depend on them for investment and cloud infrastructure.
- The AI industry's financials reveal a bubble: OpenAI lost \$5 billion while valued at \$300 billion, and Anthropic burned \$5.6 billion against a \$61.5 billion valuation, with no profitable use cases currently existing or on the horizon.
- AI companies are de-risking their unsustainable business models by pursuing government subsidies and public-sector contracts—particularly military and carceral—effectively shifting financial risk onto taxpayers.
- Over a decade of evidence shows that deployed AI systems in hiring, immigration enforcement, and public services have deepened inequality, eroded due process, displaced professional expertise, and reduced institutional transparency, with benefits to workers and the public systematically overstated.
- The report identifies four dominant industry narratives—AGI inevitability, too-big-to-fail infrastructure spending, the US-China arms race, and regulation-as-barrier-to-innovation—as strategic devices designed to insulate the industry from accountability rather than descriptions of reality.
- The report's five-point roadmap calls for reframing AI as a fight about power rather than progress, advancing worker organizing, enacting zero-trust regulatory frameworks with bright-line rules, bridging advocacy networks across policy domains, and reclaiming public-centered innovation that does not presuppose large-scale AI.
- The title 'Artificial Power' captures a dual meaning: tech oligarchs have used AI to cement real institutional power, yet that power is simultaneously inflated and contingent, making it vulnerable to democratic disruption.

Common Areas of Confusion

- Readers may confuse the report's critique of the AI industry's power structure with a blanket claim that all AI technology is useless. The report's argument is not that AI products have zero utility, but that the question of individual product usefulness is the wrong frame—the real issue is whether the ecosystem of corporate control surrounding AI serves the public interest.
- The term 'bubble' may confuse readers who equate it with imminent collapse. The report uses 'bubble' to describe the disconnect between speculative valuations and absent profitability, but it also acknowledges that Big Tech firms benefit structurally (e.g., through data center buildout and cloud revenue) even if the AI boom itself does not pan out, meaning a burst would not necessarily hurt the incumbents most.

- Readers often conflate OpenAI and Anthropic with genuine competitors to Big Tech, when the report's key point is that these firms are deeply dependent on Microsoft, Amazon, and Google through funding and infrastructure, making them extensions rather than disruptors of incumbent power.
- The phrase 'zero trust' policy agenda may be mistaken for the cybersecurity concept of zero-trust architecture. Here it means policymakers should not trust AI companies' self-regulation or self-evaluation, and should instead impose externally enforced bright-line rules and restrictions.
- The report's claim that AI's benefits are 'overstated and underproven' can be misread as denying any positive AI applications. The actual argument is that industry marketing systematically inflates speculative future benefits (e.g., cancer cures, massive productivity gains) while documented harms are concrete and immediate, creating an asymmetry that distorts public debate.
- Readers may struggle with the report's simultaneous framing of AI power as both dangerously real and artificially inflated. This is intentional: deployed AI systems already cause material harm through opacity and inequality, yet the industry's broader claims about AI's transformative potential are exaggerated to justify further consolidation—both things can be true at once.
- The concept of 'AI solutionism' may be confused with straightforward technological optimism. The report uses the term more precisely to describe how AI is deployed as a substitute for addressing structural problems like austerity, underfunding, and economic concentration, thereby obscuring the actual causes of institutional failure.